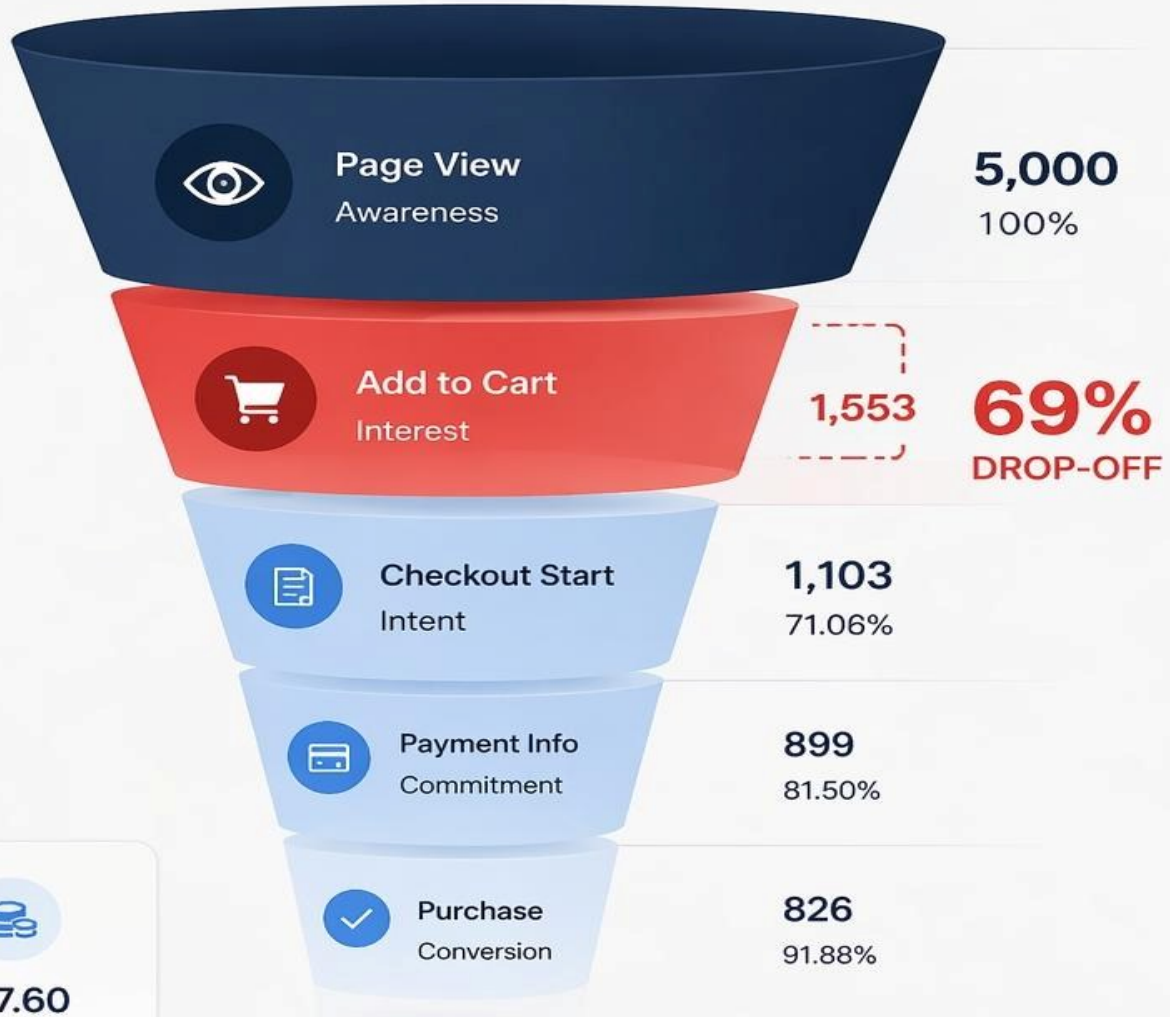
Ecommerce Sales Funnel Analysis

69% OF USERS NEVER SHOW PURCHASE INTENT

The largest drop happens **before Add to Cart**.
Fixing this unlocks **15–22%** more revenue.

$87,975.11	5,000	16.52%	$106.51	$17.60
Total Revenue	Unique Visitors	Conversion Rate	Average Order Value	Revenue Per Visitor

FUNNEL OVERVIEW



The Business Looks Healthy... On the Surface

At first glance, the business shows strong performance across key metrics. But the real story lies deeper in the funnel.

Total Revenue
$87,975.11
Strong revenue for current traffic volume

Total Unique Visitors
5,000
Healthy acquisition reach

Average Order Value (AOV)
$106.51
Suggests mid to high tier product positioning

Conversion Rate
16.52%
Above industry average for e-commerce

Revenue Per Visitor (RPV)
$17.60
High, indicating efficient monetization of users

Overall Performance
STRONG
Solid foundation with significant growth opportunity.

Key Takeaway

While core metrics are healthy, a deeper funnel analysis reveals a **critical drop in user engagement** before purchase intent is established.

Surface metrics can be deceptive.
Real opportunities are hidden in user behavior.

Funnel analysis uncovers where revenue is lost.
Focus on fixing the right leak, not just driving more traffic.

Small improvements at the top drive big gains at the bottom.
Intent drives revenue.

Next Step: Let's dive into the funnel to uncover where users are dropping off—and why.

The Real Question We Need to Answer

High-level metrics look good. But revenue is won or lost at every step of the customer journey.

Where exactly are we losing potential customers before they convert?

- Is it content? Experience? Trust? Or traffic quality?
- Let's break down the funnel and find the leak.
- Fixing the right stage will unlock the most revenue.

THE ECOMMERCE SALES FUNNEL

Every drop represents lost revenue.

The biggest opportunity lies in fixing the earliest leaks.

OUR FOCUS: Identify the biggest friction point and turn it into our biggest growth lever.

Our Data: Events, Transactions & Traffic

The analysis is based on user event data, order transactions, and traffic source information provided in the dataset.

Key Metrics (From Report)

Total Revenue	$87,975.11
Total Unique Users	5,000
Average Order Value (AOV)	$106.51
Conversion Rate	16.52%
Revenue Per Visitor (RPV)	$17.60

Data Sources Used

User Event Data
Includes user actions across the funnel:
view, add_to_cart, checkout_start, payment_info, purchase.

Order Transactions
Contains order details including product, quantity, price, and revenue.

Traffic Source Information
Maps each user to their acquisition source:
email, paid, organic, social.

What this enables

We can reconstruct each user's journey from first view to final purchase, measure drop-offs at every step, and analyze performance by traffic source.

How the Funnel Was Constructed

Each user is tracked across key events in chronological order to understand progression through the funnel.

Funnel Steps (In Order)

1. View
2. Add to Cart
3. Checkout Start
4. Payment Info
5. Purchase

Logic Used

- For each user, events are ordered by timestamp (earliest to latest).
- A user is considered to have reached a step if the event exists at or after that step in their journey.
- Users are counted at each step based on whether they reached that step or beyond.
- Conversion and drop-off rates are calculated between consecutive steps.

Funnel Logic (Conceptual Flow)

User Events
(All events with timestamp)

↓

Order Events by Timestamp
(For each user)

↓

Check Presence of Each Event
(View → Add to Cart → Checkout Start → Payment Info → Purchase)

↓

Count Users at Each Step
(Cumulative progression)

↓

Calculate Conversion & Drop-offs
(Between consecutive steps)

What this enables

This logic allows us to rebuild each user's journey from first view to final purchase, identify drop-offs at every stage, and analyze performance by traffic source.

Data Used

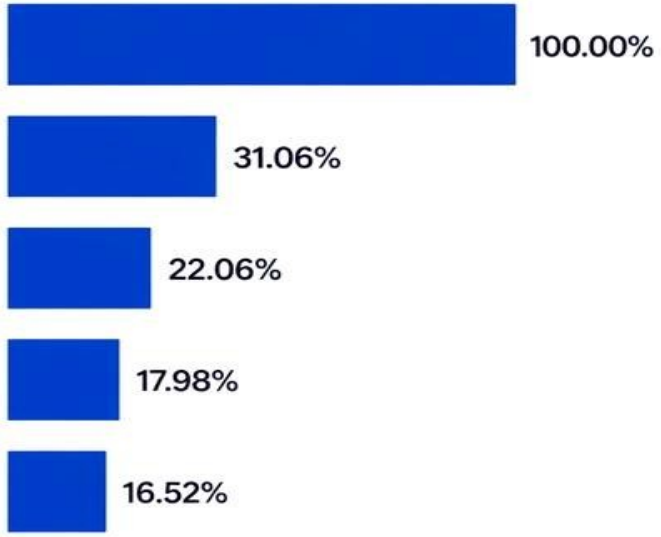
User event data, order transactions, and traffic source information as provided in the dataset.

Funnel Breakdown: Where Users Drop Off

User progression through the funnel from first interaction to final purchase.
The biggest drop happens before Add to Cart.

Funnel Step (In Order)	Users	% of Total Users (from View)
1. View	5,000	100.00%
2. Add to Cart	1,553	31.06%
3. Checkout Start	1,103	22.06%
4. Payment Info	899	17.98%
5. Purchase	826	16.52%

Users at Each Step
(% of Total Users)



Key Insight

69%

of users drop before Add to Cart.

This is the single largest leak in the funnel and the biggest opportunity to improve revenue.

Overall Conversion from View to Purchase is 16.52%
Only 16.52% of users who view a product ultimately make a purchase.

Total Unique Users (From Report)
5,000

Key Takeaway: The top of the funnel is not converting. Focus on improving user intent and engagement before the Add to Cart stage.

This Is Not a Checkout Problem

The data shows that once users reach the intent stage, they almost always convert.

Checkout Efficiency

91.88%

of users who reach Payment Info stage complete the purchase.

(From Report: Checkout Completion Rate at Payment Stage)

What This Tells Us

Checkout is Highly Efficient
Users who enter Payment Info stage rarely drop off.

Intent Drives Conversion
Once users show strong intent, they almost always complete the purchase.

Late-Stage Funnel is Not the Bottleneck
The issue is not at checkout or payment — it's much earlier.

The Real Problem

69%

of users drop before Add to Cart.

Users are not reaching the intent stage.

Key Takeaway

Optimizing checkout will not meaningfully increase revenue.
The real opportunity lies in converting more users before they reach Add to Cart.

Recommended Actions: How to Fix the Funnel Leak

The largest drop happens before Add to Cart, meaning users are not converting initial interest into intent.
Focus should be on improving engagement and encouraging users to take the next step.

Recommended Action	Rationale (Based on Data)	Expected Impact
1. Improve Product Discovery Enhance homepage, category pages, and search experience to help users find relevant products faster.	• 5,000 users view products. • Only 1,553 users add to cart. • 69% drop before Add to Cart — the biggest leak in the funnel.	Increase Add to Cart rate by converting more product views into intent.
2. Strengthen Product Engagement Add more product reviews, ratings, images, and detailed descriptions to build trust and reduce hesitation.	• Users drop off early, indicating lack of confidence or interest. • Improving content and social proof can motivate users to add products to cart.	Higher engagement and trust can drive more users to Add to Cart.
3. Re-Engage Early Drop-offs Use email, retargeting, and personalized recommendations to bring back users who viewed products but didn't add to cart.	• Majority of users leave without showing purchase intent. • Re-engagement can recover potential lost conversions.	Recover potential customers and increase Add to Cart and downstream conversions.

Focus Area

Top of Funnel (View → Add to Cart)
This is where the biggest opportunity lies to increase overall conversions and revenue.

Views **5,000** | Add to Cart **1,553** | Drop before Add to Cart **69%**

Key Takeaway: Fixing the top-of-funnel leak will have the biggest impact on conversions and revenue.
Focus on turning more product views into Add to Cart events.

Expected Business Impact

The analysis shows a significant opportunity to increase revenue by fixing the top-of-funnel leak.

Current State (From Report)

Total Unique Users (View)
5,000

Users Who Add to Cart
1,553 (31.06%)

Users Who Start Checkout
1,103 (22.06%)

Users Who Enter Payment Info
899 (17.98%)

Users Who Purchase
826 (16.52%)

69%
of users drop before Add to Cart — the largest leak in the funnel.

Revenue Impact Opportunity (From Report)

Potential Revenue Increase

15% – 22%

By improving conversion at the
View → Add to Cart
stage.

Current Total Revenue
$87,975.11
(From Report)

Impact range is based on the report's analysis of conversion improvement potential.

What This Means

The highest ROI opportunity lies at the top of the funnel, not in checkout.

Improving the View → Add to Cart conversion can significantly increase purchases and revenue.

This can be achieved without increasing traffic — by converting more existing users.

Key Takeaway: Focusing on improving the Add to Cart rate offers the most efficient path to higher conversions and revenue, with a potential uplift of **15–22%** as identified in the report.